B3-3.1-01, General Income Information (10/07/2026)

Introduction

This topic contains general information for income, including:

- Stable and Predictable Income
- Continuance of Income
- Verification of Income for Non-U.S. Citizen Borrowers
- Non-Occupant Borrower Income
- Nontaxable Income
- Income Paid in Virtual Currency
- Reduced Income Documentation Requirements for High LTV Refinance Loans
- DU Documentation Requirements

Stable and Predictable Income

A stable and predictable flow of income is a foundational element in loan underwriting. The lender must document incom
and is reasonably expected to continue.

Continuance of Income

Borrowers must be qualified with income the lender can reasonably expect to continue for the foreseeable future. The len
based on the nature of the income and supporting documentation.

- If the income does not have a defined expiration date and the applicable history of receipt of the income is document
conclude that the income is likely to continue and the lender is not expected to obtain additional documentation, unl
- If the income source does have a defined expiration date or is dependent on the depletion of an asset account or othe
the income is expected to continue for at least three years from the application date. Additionally, when an asset acco
income, the lender must assess the borrower's ability to continue repaying the loan once the income source expires o
- If the lender is notified that the borrower is transitioning to a lower pay structure, for example due to pending retirem
income amount in qualifying, and must determine that the lower amount is stable and predictable.

See Chapter B3-3, Income Assessment for topics with additional information and requirements for continuance of income

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Verification of Income for Non-U.S. Citizen Borrowers

Borrowers who are not U.S. citizens must meet the same employment and income verification requirements that are requi
of the type or source of income. For information on a borrower earning foreign income, See B3-3.2-02, Standards for Em
borrower eligibility, see B2-2-02, Non–U.S. Citizen Borrower Eligibility Requirements.

Non-Occupant Borrower Income

Income from a non-occupant borrower may be considered in qualifying for both DU and manually underwritten loans prov
required for occupying borrowers. For information about restrictions to the down payment, DTI, maximum LTV, CLTV, and
borrower, see B2-2-04, Guarantors, Co-Signers, or Non-Occupant Borrowers on the Subject Transaction.

For manually underwritten loans, this income can offset certain weaknesses that may be in the occupant borrower's loan a
reserves, or limited credit history. However, it may not be used to offset significant or recent instances of major derogatory
The occupant borrower must still reasonably demonstrate a willingness to make the mortgage payments and maintain ho

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Nontaxable Income

The lender should give special consideration to sources of income that may be nontaxable. The lender must verify that the
documentation such as award letters, policy agreements, account statements, tax returns or any other documents that ad
exceptions to the required documentation can be found within the details of each specific income type.

If the income is verified to be nontaxable, and the income and its tax-exempt status are likely to continue, the lender shoul
borrower by adding an amount equivalent to 25% of the nontaxable income to the borrower's income.

If the actual amount of federal and state taxes that would generally be paid by a wage earner in a similar tax bracket is mor
the lender may use that amount to develop the adjusted gross income, which should be used in calculating the borrower's

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Income Paid in Virtual Currency

Any income paid to or earned by the borrower in the form of virtual currency, such as cryptocurrencies, is not eligible to be

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Reduced Income Documentation Requirements for High LTV Refinance Loans

For certain high LTV refinance loans, the lender is not required to follow the income documentation requirements describe
level of income documentation for High LTV Refinance loans. See Chapter B5-7, High Loan-to-Value Refinance Option for sp

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DU Documentation Requirements

DU indicates the minimum income verification documentation required to process a loan application. This level of docum
and every situation. The lender must determine whether additional documentation is warranted. If the lender is unable to
on the basis of the available documentation, the income must be removed and the loan resubmitted to DU.

When employment or income is validated by the DU validation service, DU will issue a message indicating the required doc
may differ from those described below. See B3-2-02, DU Validation Service for more information.

Refer to DU Job Aids for information regarding data entry to DU.

Recent Related Announcements

The table below provides reference to recently issued Announcements related to this topic.

Announcement SEL-2026-09	October 07
Announcement SEL-2026-02	March 04,